

RaceSims · Chennai — 5-Year Business Plan & Financial Report

8-RIG PREMIUM SIM-RACING CENTRE · OPENS JULY 2026 · RACESIMS SOLUTIONS PVT LTD

₹68.3L
Net capital

10.0%
Break-even occupancy

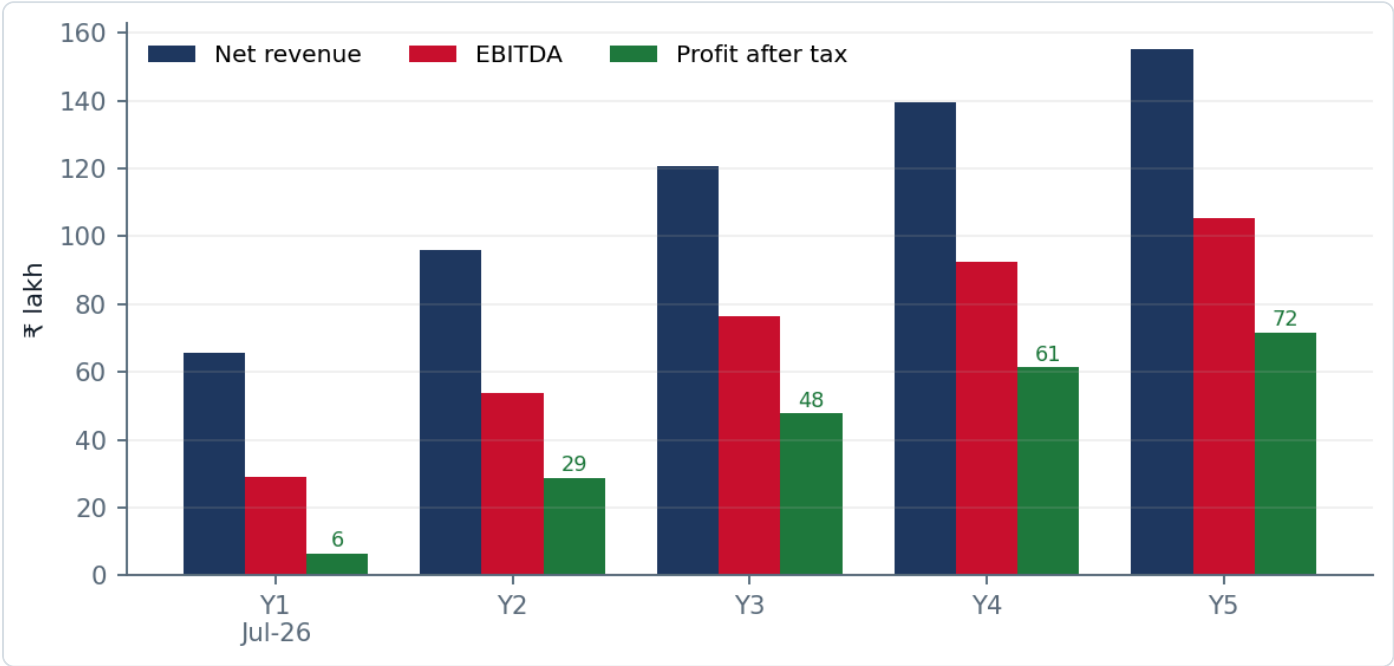
₹3.57 cr
5-yr EBITDA

₹2.16 cr
5-yr profit after tax

~2 yrs
Payback

An 8-rig (7 race + 1 motion) premium sim-racing centre opening July 2026, run under Racesims Solutions Pvt Ltd with rigs supplied at distributor cost. Operating break-even is just **10% occupancy**; a comparable operating dealer already runs at ~20%. The five-year base case below is deliberately conservative — sim sessions only (café and motorsport academy are excluded as upside), occupancy ramping 18%→35%, and the **cost of capital charged at 8%** per annum throughout.

Five-year forecast (base case)



₹ LAKH	Y1 · JUL-26	Y2	Y3	Y4	Y5
Occupancy	18%	25%	30%	33%	35%
Net revenue	65.7	95.8	120.7	139.4	155.2
Operating cost	36.7	41.9	44.4	47.0	49.9
EBITDA	29.0	53.9	76.3	92.4	105.3
EBITDA margin	44%	56%	63%	66%	68%
less Depreciation	15.0	10.0	7.0	5.0	4.0
less Cost of capital (8%)	5.5	5.5	5.5	5.5	5.5
Profit before tax	8.5	38.4	63.8	81.9	95.8
less Tax (25.17%)	2.1	9.7	16.1	20.6	24.1
Profit after tax	6.4	28.7	47.8	61.3	71.7

5-year totals: cumulative EBITDA ₹3.57 cr · cumulative PAT ₹2.16 cr · capital multiple ~3.2x on ₹68.3L (~3.7x on the ₹59L truly at risk, since the ₹9.3L deposit is refundable).

Capital investment & cost of capital

ITEM	AMOUNT
8 rigs (7 race + 1 motion) · distributor cost	₹50,79,200
Security deposit (6 mo · refundable)	₹9,31,500
Power, electrical & UPS	₹3,00,000
Interiors, branding, coffee, office	₹4,60,000
Working capital (2 months)	₹6,11,000
Contingency (5%)	₹3,38,535
Gross investment	₹77,20,235
<i>less GST input credit</i>	<i>(₹8,90,756)</i>
Net cash deployed	₹68,29,479
<i>of which deposit (refundable)</i>	<i>(₹9,31,500)</i>
Capital truly at risk	₹58,97,979

COST OF CAPITAL	
Basis	Part loan / part own
Rate (blended)	8% p.a.
Annual charge	₹5,46,000
5-year total	₹27,30,000

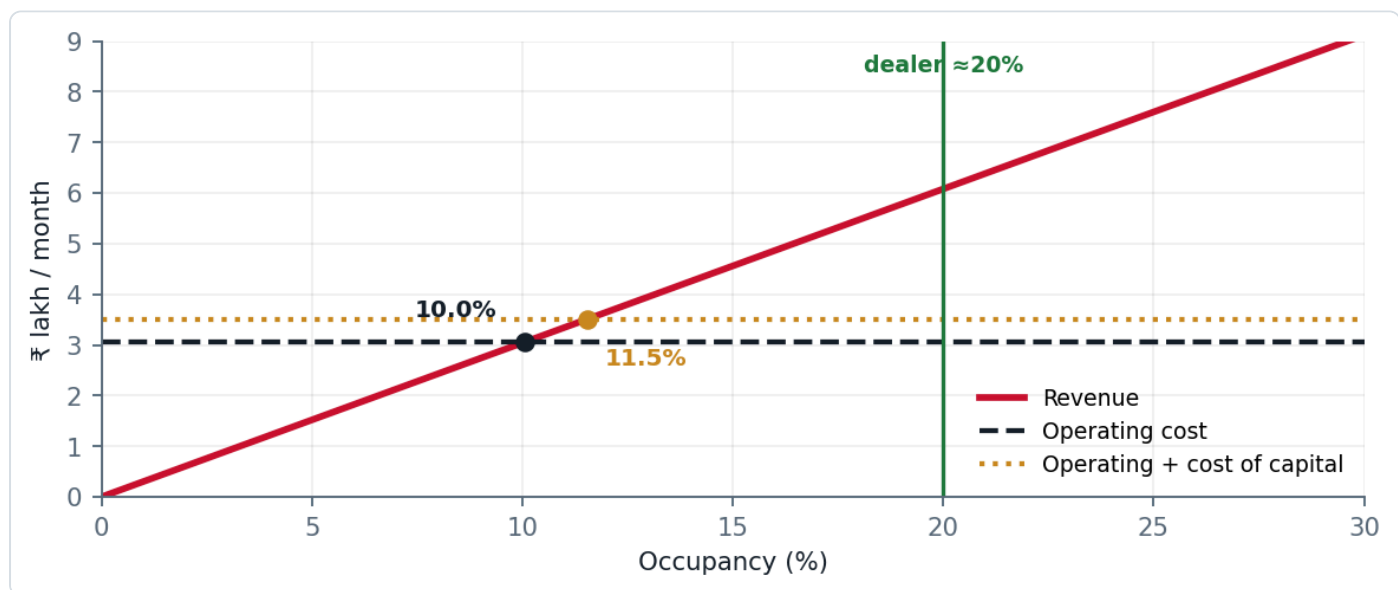
Charged at 8% on the deployed capital each year. The loan portion's interest is tax-deductible; the own-funds portion is an opportunity cost. Rigs are RaceSims' own product (₹85–95L retail value) — most of the capital is a recoverable asset, which de-risks the financing.

Monthly operating cost — ₹3,05,500 (Year 1)

ITEM	₹ / MONTH
Rent	₹155,250
Electricity	₹45,000
Staff (2)	₹50,000
Rig upkeep + reserve	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total (Year 1)	₹3,05,500

Revenue model. GST-inclusive pricing (master rate card): race ₹750/30min · ₹1,250/hr; motion ₹1,000/30min · ₹1,750/hr. Blended **₹1,218/hr net of GST** in Year 1, rising ~5%/yr. Capacity **2,496 rig-hours/month** (29,952/yr). Operating cost grows ~6%/yr with a 3rd staff member added from Year 2.

Break-even



Operating break-even **10.0%**; including the 8% cost of capital, **11.5%**. A real RaceSims dealer already operates at ~20% — roughly double the break-even threshold.

Payback & returns



Cumulative operating cash crosses the ₹68.3L capital line during Year 2 — payback ~2 years including the cost of capital. By Year 5, cumulative PAT reaches ₹2.16 cr.

Year-1 detail (Jul 2026 – Jun 2027)

LINE	GOOD RAMP	SLOW RAMP
Net revenue	66.0	45.3
Operating cost	(36.7)	(36.7)
EBITDA	29.3	8.6
Depreciation	(15.0)	(15.0)
Cost of capital (8%)	(5.5)	(5.5)
Profit before tax	8.8	(11.8)
Tax @ 25.17%	(2.2)	-
Profit after tax	6.6	(loss c/f)

Tax upside. If the Startup-India 80-IAC exemption is claimed for FY2027/28, Year-1 and Year-2 income tax fall to **nil** (~₹12L saved), lifting early PAT and shortening payback. Not assumed in the base case.

Year-3 refresh. Budget a ~₹12L PC/GPU refresh in Year 3; largely funded by the rig-maintenance reserve (₹24k/mo). Treated as capex (depreciated), not in the P&L above.

₹ lakh. Full-year depreciation applies (July start = >180 days in FY2026-27).

Risks & key assumptions

RISK	MITIGATION
Demand below the ~20% dealer benchmark	Break-even at 10–11.5% leaves a wide cushion; pre-sell corporate/experiences
Premium-price resistance	Protect headline rate; value via memberships, Hot Lap, off-peak hours
Equipment failure (motion rig)	Maintenance reserve + in-house servicing; rigs resaleable at retail
Slow first 4–5 months	Hold ~₹17L runway buffer separate from capital

Assumptions. Pricing GST-inclusive (master rate card); revenue net of 18% GST. Occupancy 18→35% (base case, below the dealer's proven ~20% by month 6 and the investor-deck's 50–68%). Blended rate +5%/yr; operating cost +6%/yr with a 3rd staffer from Y2. Cost of capital 8% p.a. on ₹68.3L. Full corporate tax (25.17%); no startup exemption banked. Depreciation WDV (computers 40% / plant 15% / furniture 10%). Café & motorsport-academy revenue excluded (incremental upside). · RaceSims · Chennai · Racesims Solutions Pvt Ltd · prepared July 2026 plan